Strategic Recommendations Report

Executive Summary

Analysis of the Olist Brazilian E-Commerce dataset across four business domains revealed several critical opportunities for improvement. The findings point to a business that is generating revenue but struggling to retain customers, maintain operational consistency, and develop its seller base. The following five strategic recommendations are proposed in order of business impact.

Recommendation 1: Address the Customer Retention Crisis

Finding: 96.88% of customers never return for a second purchase. Of the 3.12% who do return, 93% only purchase twice, indicating a significant retention cliff between first and second repeat purchases.

Recommendation: Olist should implement a structured customer loyalty program with incentives specifically targeting third and fourth purchases where the retention cliff is most severe. Targeted email re-engagement campaigns for one time buyers combined with promotional campaigns during historically slow months would create additional touchpoints to bring customers back to the platform. Health and Beauty, as the top performing category by revenue, is the strongest candidate for targeted promotions designed to drive second purchases from customers who have already converted once.

Recommendation 2: Reduce Delivery Time Variability

Finding: 7.87% of orders are delivered late, with the average late order arriving 8.87 days past the promised delivery date. Late deliveries result in a 39% drop in customer satisfaction, from an average review score of 4.21 for on time orders to 2.57 for late orders, putting R$1,357,314.96 in revenue at risk.

Recommendation: Olist should implement a seller fulfillment scorecard with minimum shipping time requirements to hold sellers accountable for delivery performance. Proactive customer communication when orders are running late would help manage expectations and reduce the satisfaction impact of delays. Additionally, Olist should prioritize expanding its seller network in underserved remote states to reduce delivery distances, and implement delivery time guarantees for high volume states where logistics infrastructure already supports reliable performance.

Recommendation 3: Capitalize on Seasonal Demand

Finding: November revenue was 97% above the monthly average in 2017, driven primarily by Black Friday demand. This pattern was consistent across all top 5 revenue categories indicating a business wide seasonality effect. January and February represent the slowest months creating significant revenue volatility throughout the year.

Recommendation: Olist should scale operational capacity ahead of the November peak including customer support staffing and platform infrastructure to handle increased web traffic. A proactive seller communication program should be implemented to share historical demand patterns with sellers, ensuring adequate inventory levels before peak season. Targeted promotional campaigns during January and February would help mitigate revenue volatility during historically slow periods, smoothing overall annual revenue performance.

Recommendation 4: Strengthen Top Seller Relationships

Finding: The top 1% of sellers, just 30 individuals, control 25.67% of total platform revenue. The top 10% of sellers generate 105 times more revenue than the bottom 50%, representing both a concentration risk and a seller development opportunity.

Recommendation: Olist should implement a top seller retention program with dedicated account management and preferential support for the top 1% of sellers given their outsized revenue contribution. Minimum revenue thresholds should be established for continued seller status after an initial ramp up period of 6 to 12 months. A seller development program specifically targeting the bottom 50% should be created to diagnose barriers to performance and provide targeted support to convert underperforming sellers into meaningful revenue contributors.

Recommendation 5: Implement Category Level Seller Evaluation

Finding: Surface level average review scores were found to be misleading indicators of seller performance. A top seller with an apparent average review score of 3.35 was found to have a true category level score of 4.35 once outlier orders in secondary categories were removed. Null values in review data were also found to artificially suppress average scores.

Recommendation: Olist should implement a seller performance evaluation framework that goes beyond overall average review scores. Minimum performance thresholds should be applied at the category level rather than the seller level, and review score calculations should explicitly exclude null values to prevent data quality issues from distorting performance metrics. Regular category level audits of top sellers would provide more actionable and accurate performance intelligence.